

20/4/16

Business, Trade & Commerce

Hundi as practiced by Indian Merchant Communities		
Dhami-jog	Darshani	Payable to any person - no liability over who received payment
Sah-jog	Darshani	Payable to a specific person, someone 'respectable' liability over who received payment.
Firmam-jog	Darshani	Hundi made payable to order
Dekham-bar	Darshani	Payable to the presenter or bearers.
Dhami-jog	Muddati	Payable to any person - no liability over who received payment, but payment over a fixed term.
Firmam-jog	Muddati	Hundi made payable to order following a fixed term.
Dakhami	Muddati	Draw against dispatched goods. If goods lost in transit, the drawer or holder bears the costs and the Drawee carries liabilities.

I Short Answer Questions

Q1 Why is business considered an economic activity?
 Ans Business is considered an economic activity because it is undertaken with the object of earning money or livelihood and not because of love, affection, sympathy or any other sentimental reason.

Q2 How does business contribute to the economic development of a country?
 Ans The business helps to stabilize, stimulates and contributed to the growth of economics in the following ways:-

- Investing in people's demand
- Bringing employment opportunities to economy
- Increase technology development
- Solution to new challenges
- Active competition

Q3 State the different types of economic activities.

Ans Business: It is an economic activity which involves purchase or production and sale of goods and services with a motive to earn profits by satisfying human needs in society.
 Profession: It is an economic activity which requires application of specialised knowledge and skills in the occupation. It needs to follow guidelines or code of conduct laid by respective professional bodies.

Employment: It is an economic activity which requires people to work for others and remuneration or salaries/wages in return.

Q4 State the meaning of business.

Ans Business refers to an economic activity of producing or procuring goods for the purpose of resale with a sole aim to earn profit. It involves regular supply of such goods and services which satisfied human needs. It can be both profit or non-profit organisation that function to gain profits or achieve a social cause respectively.

Q5 What are the various types of industries?

Ans There are three main types of industries:-

- 1) Primary Industries: All such industries which are related to extraction and production of natural resource or reproduction and development of living organism. These types of industries can be extractive or genetic.
- 2) Secondary Industries: All such industries which use raw materials extracted by primary industries to produce goods for consumers or for further use by industrial units. These industries include manufacturing and construction industries.
- 3) Tertiary Industries: All such industries which provide support services to primary and secondary industries in the form of transporting, warehousing, financing, etc.

Q6 What is the role of profit in Business?

Ans Profit provides a source of income to the owner, it provides funds and motivation for growth and expansion, it acts as a yardstick of business performance, it helps in building business reputation.

Q7 State the causes of risks involved in business.

Ans Business risks arise due to a variety of causes, which are classified as follows:

- (a) Natural Causes
- (b) Human Causes
- (c) Economic Causes
- (d) Other Causes

II Long Answer Questions

Q1 Discuss the development of indigenous banking system in India subcontinent.

Ans In ancient India, indigenous bankers like shroffs, chettis, sabukars provided credit and accepted deposits. They financed trade, agriculture, and crafts. Instruments like hundi facilitated safe transfer of money across regions. This informal system supported merchants during the Mughal period and connected rural and urban economies. Though unregulated, it laid the foundation for modern banking.

Q2 Define business. Describe its important characteristics.

Ans Business is an economic activity involving production, procurement, and sale of goods/services for profit. Key characteristics:

- Regular transactions, not one-time.
- Profit motive with risks.
- Requires capital, organization, and labour.
- Provides goods/services to society.
- Subject to social responsibility.

Thus, business combines risk, continuity, and profit orientation.

Q3 Compare business with profession and employment.

- Ans
- Business: Independent, profit-motive, risk involved, requires capital.
 - Profession: Specialized service (doctor, lawyer), requires qualification, fee-based, governed by ethics.
 - Employment: Working under contract, fixed wages/salary, no risk, subordination to employer.

Comparison: Business = profit + risk; Profession = expertise + ethics; Employment = fixed income + security.

Q4 Describe the activities relating to commerce.

Ans Commerce covers activities that facilitate exchange of goods/services. It includes:

- Trade: Buying and selling.
- Auxiliaries to trade: Transport, warehousing, insurance, banking, advertising, communication.

These activities remove obstacles of place, time, risk, finance, and information, ensuring smooth flow of goods from producers to consumers.

Q5 Explain the concept of business risk and its causes.

Ans Business risk means uncertainty of profit or possibility of loss. Causes include:

- Natural: Flood, earthquakes.
- Human: Employee errors, strikes.
- Economic: Demand changes, competition.
- Political/legal: Policy shifts, taxation.

Risk is unavoidable; profit is rewarded for risk-taking.

Q6 What factors are to be considered while starting a business? Explain.

Ans Key factors:

- Selection of business line (based on demand, interest)
- Size of business (small / large scale)
- Location (availability of raw materials, market access)
- Finance (capital requirement, sources)
- Legal Formalities (registrations, licenses)
- Infrastructure and workforce

Proper planning reduces risk and ensures success.

Q7 Compare business with Profession & employment.

Business	Profession	Employment
* Entrepreneurs and other legal formalities if necessary.	* Membership of a professional body & certificate & practice agreement	* Appointment letter or service agreement
* Provisional goods & services to the Public.	* Qualification on rendering of services.	* Performing work as per contract
* No Qualification	* Qualification is required	* Qualification is required.

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27/4/25